

How Reality Becomes Legible

The Optimization Funnel and Reality Drift

Reality Drift Framework — Representational Systems Brief #3

A. Jacobs

The Basic Pattern

Reality is too complex to optimize directly.

Before a system can manage the world, it must first simplify it.

The basic sequence is:

reality → measurement → classification → compression → optimization → prediction → generation

Every transformation makes reality easier to represent.

Every transformation also removes information.

The result is a representation that becomes increasingly useful while becoming progressively less faithful to the thing it represents.

Why the Funnel Exists

Every complex system depends on simplification.

Hospitals cannot optimize every detail of every patient.

Governments cannot legislate every individual circumstance.

Search engines cannot index the full richness of every webpage.

AI systems cannot reason over raw reality.

Instead, they operate on representations.

The funnel is the process that makes those representations possible.

The Optimization Funnel

Measurement

The system first decides what can be observed.

Everything outside the measurement disappears from the optimization process.

Classification

Measurements become categories.

Continuous reality becomes discrete labels.

Variation becomes manageable.

Compression

The categories are simplified further.

Relationships, history, ambiguity, and local context are reduced to the information the system considers necessary.

Compression increases efficiency.

It also narrows the world.

Optimization

The compressed representation becomes the object of improvement.

The system no longer optimizes reality directly.

It optimizes the representation of reality.

Prediction

Once the representation becomes sufficiently stable, it is used to anticipate future states.

The model begins acting on expectations rather than observations.

Generation

The final stage no longer describes reality.

It produces new representations based on previous representations.

These outputs become part of the environment future systems learn from.

What Gets Lost

Nothing disappears all at once.

Each stage removes only a small amount.

Measurement loses detail.

Classification loses uniqueness.

Compression loses relationships.

Optimization loses purpose.

Prediction loses uncertainty.

Generation loses direct contact.

The final output may be remarkably coherent.

It may also be several transformations removed from the reality that originally entered the system.

Reality Drift

Within the **Reality Drift framework**, drift begins when optimization becomes more responsive to the representation than to the reality that created it.

The metric becomes the objective.

The category becomes the identity.

The prediction becomes the expectation.

The generated output becomes the new training data.

Each layer strengthens the next.

Corrective feedback from reality grows weaker.

The system remains internally consistent because every stage agrees with the representation produced by the stage before it.

The Optimization Funnel Everywhere

The same structure appears across modern life.

Science measures reality.

Institutions classify it.

Organizations compress it into procedures.

Markets optimize it.

Algorithms predict it.

AI generates new representations from it.

Different domains.

The same funnel.

The Core Principle

The goal of the funnel is not deception.

It is legibility.

Legibility makes coordination possible.

Optimization makes scale possible.

But every increase in legibility is achieved through simplification.

The question is never whether information has been lost.

The question is whether enough of reality survives for the representation to remain answerable to the world it claims to describe.

Reality Drift begins when systems become better at optimizing representations than remaining constrained by reality.

Keywords: optimization funnel, how reality becomes legible, representation funnel, measurement and classification, information compression, optimization, prediction, generative AI, semantic fidelity, representational systems, proxy optimization, Reality Drift, representational failure, A. Jacobs